

Corporation Participating 6¹/₂s, Series A, due 1947; neither of which is convertible.) Sometimes participating issues are protected against loss of the privilege through redemption by setting the call price at a very high figure. Something of this sort was apparently attempted in the case of San Francisco Toll-Bridge Company Participating 7s, due 1942, which were callable at 120 through November 1, 1933, and at lower prices thereafter. Celluloid Corporation Participating Second Preferred is callable at 150, whereas Celanese Corporation Participating First Preferred is noncallable.

Another device to prevent vitiating the participating privilege through redemption is to make the issue callable at a price that may be directly dependent upon the value of the participating privilege. For example, Siemens and Halske Participating Debentures, due in 1930, are callable after April 1, 1942, *at the average market price for the issue during the six months preceding notice of redemption but at not less than the original issue price* (which was over 230% of the par value). The Kreuger and Toll 5% Participating Debentures had similar provisions.

Even in the case of a *convertible* issue a callable feature is technically a serious drawback because it may operate to reduce the duration of the privilege. Conceivably a convertible bond may be called just when the privilege is about to acquire real value.⁸

But in the case of issues with stock-purchase warrants, the subscription privilege almost invariably runs its full time even though the senior issue itself may be called prior to maturity. If the warrant is detachable, it simply continues its separate existence until its own expiration date. Frequently, the subscription privilege is made “nondetachable”; *i.e.*, it can be exercised only by presentation of the senior security. But even in

⁸ This danger was avoided in the case of Atchison, Topeka and Santa Fe Railway Convertible 4¹/₂s, due 1948, by permitting the issue to be called only after the conversion privilege expired in 1938. (On the other hand, Affiliated Fund Secured Convertible Debentures are callable at par at any time on 30 days' notice, in effect allowing the company to destroy any chance of profiting from the conversion privilege.)

Another protective device recently employed is to give the holder of a convertible issue a stock-purchase warrant, at the time the issue is redeemed, entitling the holder to buy the number of shares of common stock that would have been received upon conversion if the senior issue had not been redeemed. See Freeport Texas Company 6% Cumulative Convertible Preferred, issued in January 1933. United Biscuit 7% Preferred, convertible into 2¹/₂ shares of common, is callable at 110; but if called before Dec. 31, 1935, the holder had the option to take \$100 in cash, plus a warrant to buy 2¹/₂ shares of common at 40 until Jan. 1,